

Earnings Digest: Intuitive Machines, Inc. (NASDAQ: LUNR)

Period: Q2 FY2026 (quarter ended 30 June 2026) **Reported:** 13 August 2026, before the open; earnings call 08:30 ET
4 Digest prepared: 14 August 2026

Executive Summary

Intuitive Machines missed on every headline line — revenue \$206.2M vs ~\$216–221M consensus, GAAP EPS \$(0.29) vs \$(0.07)–\$(0.09), and Adjusted EBITDA \$(13.8)M against a consensus of **positive** \$3.2M [1 3 8](#) — yet the stock round-tripped from \$14.18 intraday to close green, because bookings were the largest in company history: \$920M booked in Q2 plus ~\$300M quarter-to-date in Q3 (the latter not yet in the 30 June figure). Backlog went from \$213M at 31 Dec 25 to **\$1.76B**, of which \$612.8M was acquired Lanteris backlog rather than won [4 11](#).

The two things that decide the next two quarters. First, **FY26 Adjusted EBITDA has to swing ~4.7–5.0 percentage points in H2** to land anywhere positive: H1 sits at \$(11.1)M on \$392.9M (–2.83%), so H2 must produce at least +\$11.1M on \$507–607M of revenue, a +1.8% to +2.2% margin. Management reaffirmed positive FY26 Adjusted EBITDA anyway [2](#). Second, **the mix has inverted the margin story**: product gross margin is 28.4% while service gross margin is **–31.5%** (+8.6% excluding the \$14.7M IM-4 estimate-at-completion charge) — both excluding D&A — and service revenue is *shrinking* — down 27% YoY in the quarter and 30% in H1 [7](#).

What's priced in. At \$17.56, on the full economic share count of 228.9M (not the 173.2M Class A the press quotes), EV is ~\$3.99B — **4.2x** the FY26 guidance **midpoint** (\$950M), and 51.8x the FY28 consensus Adjusted EBITDA of \$77M [10](#). The widely-cited "under 3x sales" is a Class A-only artefact: counting the Class C shares makes EV **32.5% higher**, taking the multiple from 3.17x to 4.20x — and on an if-converted basis (the \$345M converts are in the money at \$13.11) it is 4.3x.

Thesis check

Bull narrative

- **Status: Strengthened — on orders; weakened on unit economics.**
- **Because:** Backlog went from \$213M to \$1.76B in six months, and critically it *diversified*: 37% civil / 49% commercial / 14% national security, with Q2 bookings 20/50/30 [2](#). National security went from 3% to 30% of revenue YoY [4](#). The \$600M+ three-satellite commercial GEO award is the single largest contract in company history and is *commercial*, not appropriated — which structurally weakens the "it's just a NASA contractor" bear case. More than 80 spacecraft are under contract. Product gross margin at 28.4% is real evidence the acquired manufacturing business earns money.
- **What did not improve:** every profitability line missed, and the miss was not small.

Bear narrative

- **Status: Strengthened.**
- **Because:** Adjusted EBITDA went *backwards* sequentially, from +\$2.7M in Q1 to \$(13.8)M, against consensus of +\$3.2M [8](#). Free cash flow was \$(83.9)M in the quarter and \$(145.8)M in H1; cash fell from \$582.6M to \$367.4M despite \$235M of net ATM proceeds [7 2](#). The services franchise — the entire "operate the infrastructure, earn recurring margin" thesis — is shrinking and loss-making. Management declined to guide free cash flow or name a breakeven date [2](#). Goodwill plus intangibles is \$676.3M, 36% of total assets, against an acquired GEO business that the independent research report characterises as cyclical, with operators deferring awards and sales leaning on the aging 1300-class bus.

Quality signals

Signal	This Q (Q2 FY26)	Prior Q (Q1 FY26)	Trend	Watch for (forward)
OCF vs net income	OCF \$(59.8)M vs NI \$(62.8)M; ratio 0.95x	OCF \$(52.1)M vs NI \$(52.5)M	Cash loss ≈ accounting loss; no accrual cushion either way	Whether the \$17M IM-4 SpaceX milestone and the \$17M of inventory-and-infrastructure spend reverse in H2 as management implies 2
DSO	Receivables \$119.7M on \$206.2M revenue ≈ 53 days	\$105.8M on \$186.7M ≈ 51 days	Flat sequentially — but up from ~25 days at YE25 on the pre-acquisition base	Any move past ~60 days would signal definitization slipping, not just mix
Inventory	\$59.9M (from \$0 at YE25)	\$57.9M	Only +\$2.1M sequentially. Management's \$17M of "accelerated inventory and infrastructure " is therefore mostly infrastructure — PP&E rose \$20.4M in the quarter	Inventory or PP&E rising while bookings slow = the build ahead of demand was speculative
Contract liabilities	\$215.5M current (from \$57.4M at YE25)	\$205.6M	Customer cash funding the balance sheet	A decline signals milestone cash drying up ahead of revenue
Guidance credibility	FY26 \$900M–\$1.0B reaffirmed , 2nd consecutive quarter 2	Same range set	Held despite the miss; mgmt says "very strong visibility" to the <i>low</i> end	Q3 print: reaffirm again vs narrow-to-low-end. Backlog conversion alone spans \$832–920M — it clears the \$900M low end only at the top of the guided conversion range
Non-GAAP dependence	Adj. EBITDA \$(13.8)M includes add-backs of \$7.9M deal costs + \$10.5M SBC; ex-both, \$(32.2)M	Q1 +\$2.7M included \$20.0M deal costs + \$8.8M SBC; ex-both, \$(26.2)M	Add-backs shrinking as a share, but still decisive	Whether H2 positive Adj. EBITDA is earned operationally or via continued integration add-backs

Sentiment & positioning

Data type	Metric / fact	Source	As of
Sentiment (quantified)	Analyst ratings 9 Buy / 1 Hold / 1 Sell; consensus "Buy". PT consensus \$33.5, median \$32, range \$26–\$43 (vs \$17.56 spot)	Bigdata.com tearsheet	14 Aug 2026
Price reaction	–9.4% premarket to \$15.35, low \$14.18, closed green at \$17.56 — full intraday reversal. Options had priced a 13.4% move	6 9 12	13 Aug 2026
Options / short	Short interest 34.79M shares (from 30.57M), 26.53% of float , days-to-cover 1.64. Fund call options \$405M vs puts \$146M	13 ; Bigdata.com tearsheet	16 Jun 2026 (SI); Q1 2026 (13F)
Institutional / 13F	281 holders (+29 QoQ); 105.9M shares; 66.47% ownership (–1.85pp); capital invested \$1.32B → \$1.97B. New: Vanguard 5.24M sh, Defiance ETFs 2.09M, LMR 1.98M, Renaissance 1.93M; Citadel +3.61M, D.E. Shaw +2.57M	Bigdata.com tearsheet	Q1 2026 (31 Mar)
Insider	Not available — no Form 4 activity surfaced in the search window	—	—
Price context	\$17.56; 52-wk range \$8.05–\$45.70; 25th percentile of range; –50.8% over 3M, +67.9% over 1Y, +8.2% YTD; 5D +17.6%	Bigdata.com tearsheet	13 Aug 2026

A note on the reversal: with 26.5% of float short and only 1.6 days to cover, the intraday recovery from \$14.18 is at least as consistent with short covering into a record-bookings headline as with a considered re-rating.

Financial Results Summary

Headline Numbers

Metric	Actual	Consensus	Surprise	YoY
Revenue	\$206.2M	\$216.3M (FactSet) / \$220.8M (Benzinga) / \$221.1M (The Fly)	−4.7% to −6.8% (−\$10.2M to −\$15.0M)	+309.8% (4.10x)
GAAP EPS (Class A, basic = diluted)	\$(0.29)	\$(0.07) – \$(0.09)	−\$0.20 to −\$0.22	worse vs \$(0.22)
Adjusted EBITDA	\$(13.8)M	+\$3.2M (FactSet)	−\$17.0M; wrong sign	improved from \$(25.4)M
Gross profit / margin	\$35.9M / 17.40%	n/a	n/a	vs \$(11.8)M / (23.5)%
Operating loss	\$(47.1)M	n/a	n/a	vs \$(28.6)M
Net loss	\$(62.8)M	\$(13.2)M	−\$49.7M	vs \$(38.2)M
Backlog	\$1.76B	n/a	n/a	vs \$213M at 31 Dec 25 (not a YoY comparison)

Key Highlights

- Record quarterly revenue, **4.1x** the prior year, on spacecraft production, CLPS, OMES and NSNS execution [4](#)
- Record bookings: **\$920M in Q2**, +\$300M in Q3 QTD; \$1.7B booked YTD, of which \$1.2B in Q2-through-call-date — the highest quarterly bookings in company history [2](#)
- \$600M+ contract for three commercial GEO satellites** (\$45.0M authority-to-proceed received; backlog booked at estimated total program value >\$600M) [4](#)
- Sixth CLPS mission (**CS-8**) awarded under NASA's Moon Base programme — a standardised production lander, extending lunar cadence past 2028 into 2030 [2](#)
- 18 spacecraft for AMDT3 / Golden Dome** via L3Harris, awarded July, booked in Q3 [4](#)
- National security revenue **3% → 30%** of total, YoY [4](#)
- 16 satellites delivered for the SDA Tranche 1 tracking layer; Goonhilly Earth Station and COMSAT acquisition closed in August [5](#)

Revenue and Margin Analysis

Revenue Performance

- Total revenue \$206.168M**, +309.8% YoY, +10.4% QoQ from \$186.730M. Missed consensus by \$10.2–15.0M
- Product \$166.735M** (80.9% of revenue) — nil a year ago; entirely the Lanteris satellite-manufacturing base
- Service \$36.677M** (17.8%) — **down 27.1%** from \$50.313M
- Grant \$2.756M** (1.3%)
- H1 revenue \$392.898M vs \$112.837M, +248%

The revenue line is now a satellite-manufacturing business with a lunar-delivery attachment, not the reverse. This is the single most important structural fact in the quarter.

Margins

	Q2 FY26	Q1 FY26	Q2 FY25
Blended gross margin (excl. D&A)	17.40%	16.12%	(23.5)%
— Product	28.43%	19.53%	n/a
— Product, H1	24.34%	—	—
— Service	(31.46)%	5.86%	(23.5)%
— Service, excl. \$14.7M IM-4 EAC	8.62%	—	—
— Service, H1	(11.52)%	—	—
Operating margin	(22.86)%	(20.99)%	(56.9)%
Adjusted EBITDA margin	(6.69)%	+1.43%	(50.4)%

Margin drivers. Blended gross margin improved 128bps sequentially and swung ~41 points YoY, entirely on product mix. Underneath, the two segments moved in opposite directions: product margin gained ~890bps sequentially, while service margin fell from +5.9% to -31.5%. The \$14.7M IM-4 estimate-at-completion adjustment — taken "to accommodate payload changes" as resources shifted from IM-3 to IM-4 — explains most but not all of the service deterioration; ex-EAC, service is +8.6%, still a third of product's margin [2](#).

Cost lines: general and administrative \$60.3M (including ~\$10.5M SBC and ~\$7.9M acquisition transaction/integration costs, plus Lanteris retention RSUs and software-licence renewal timing); R&D \$7.7M (from \$0.5M); D&A \$14.9M (from \$0.8M), of which \$7.1M intangible amortisation and \$7.8M depreciation [7](#).

Operating Metrics and Segment Performance

Intuitive Machines does not yet report segment profitability; the product/service/grant split below is the only margin disaggregation available.

Build (spacecraft and physical infrastructure)

- Product revenue \$166.7M, 28.4% gross margin — the profit engine of the quarter
- More than 80 spacecraft under contract; 16 SDA Tranche 1 tracking-layer satellites delivered
- Three commercial GEO satellites signed (>\$600M); 18 AMDT3 buses for L3Harris; CS-8 standardised production lander

Connect / Operate (communications, networks, mission ops, data)

- Service revenue \$36.7M, -27.1% YoY, negative gross margin
- NSNS: first satellite plus ground-segment upgrades and long-lead buys for satellites 2-5, accelerating the constellation "following our discussions with NASA"; fully operational revenue targeted **2028**, initial bid ~**0.5M minutes/year**, with PNT broadcast on top [2](#)
- LROC and ShadowCam operations awarded — lunar imaging, data storage, processing and analytics
- KinetX provides the mission-operations and lunar-navigation layer

Backlog composition and conversion — the key operating KPI

	Value	Note
Backlog, 30 Jun 2026	\$1,757.4M	Bridge: \$213.0M + \$612.8M Lanteris acquired + \$1,340M new awards – \$392.9M performance – \$15.5M adjustments
Mix	37% civil / 49% commercial / 14% national security	Commercial is now the largest slice
Q2 bookings mix	20% civil / 50% commercial / 30% national security	
Conversion guidance	25-30% in 2026, 35-40% in 2027, remainder thereafter	2

The bridge is internally consistent: the \$392.9M of "performance" removed from backlog is H1 revenue of \$392.9M. Note the company disclosed "approximately \$1.8 billion" and a \$1.55B increase, with bridge components rounded to \$0.1M, so \$1,757.4M is a reconstruction, not a reported figure.

Management Guidance and Commentary

Forward Guidance

- **FY2026 revenue: \$900M – \$1.0B** — reaffirmed (consensus \$935.1M; midpoint \$950M) [3](#)
- **FY2026 Adjusted EBITDA: positive** — reaffirmed
- **No free-cash-flow guidance.** Asked directly for a breakeven date: *"We haven't guided yet on free cash flow, so we're not providing a formal date... our near-term focus is EBITDA positive. And then I think the next step is definitely moving into free cash flow positive."* [2](#)
- Capex to stay **elevated** in coming quarters across all five NSNS satellites; FCF to improve through H2

Does the guidance foot? 25-30% of \$1,757M = \$439-527M in H2, plus H1's \$392.9M = **\$832M-\$920M** — so backlog conversion alone reaches the \$900M low end only at the *upper* end of the guided conversion range, and never reaches the midpoint. Management said exactly this: *"very strong visibility at the bottom end of the range,"* with the path to the midpoint depending on *"timing of contract definitization and revenue conversion, not customer demand"* [2](#). A B. Riley analyst put the same arithmetic to them on the call.

The Adjusted EBITDA hurdle is the harder one. H1 is \$(11.1)M at a –2.83% margin. Reaching zero for the year requires **+\$11.1M in H2**, i.e. a +1.83% to +2.20% H2 margin — a **4.7 to 5.0 point swing** in two quarters, while capex stays elevated and Lanteris retention RSUs continue through year-end.

Strategic Priorities

1. **Build → Connect → Operate**, monetising deployed infrastructure as recurring service revenue rather than one-off missions
2. **Emerge as a prime**, not a subcontractor: *"you'll see us bidding as a prime on a lunar surveyor, supplying all the imagers and the bus for mapping the moon and then integrating those data products, downlinking them through our networks... providing the data products and information that the government is going to want"* [2](#)
3. **Diversify away from single-market dependence** — the quarter's stated proof point
4. **Invest ahead of demand** — \$17M of accelerated inventory that management says "directly resulted in new awards during the quarter"

Market Conditions and pipeline not yet in backlog

CLPS 2.0 multi-award IDIQ estimated **above \$10B** per post-call coverage [1](#) — note the independent research report put the CLPS 2.0 ceiling at \$6B, so treat the figure as unsettled — with four CLPS bids available this year (three new awards expected later in the year); TDRS replacement commercialisation (K/Ka-band, three phases) bid; orbital data-centre development bids; Andromeda **RG-XX** highly-maneuvrable GEO national-security satellite. IM-3 remaining milestones are technical testing and an **October flight-readiness review**; IM-4 remains on track for **late 2027** [1](#) [2](#).

Cash Flow and Balance Sheet

Cash Generation

	Q2 FY26	Q2 FY25	H1 FY26	H1 FY25
Operating cash flow	\$(59.8)M	\$(19.3)M	\$(111.9)M	+\$0.2M
Capex	\$(24.1)M	\$(8.1)M	\$(33.9)M	\$(14.2)M
Free cash flow	\$(83.9)M	\$(27.3)M	\$(145.8)M	\$(14.0)M
FCF margin	(40.7)%	(54.3)%	(37.1)%	(12.4)%

Management's decomposition of the \$60M operating outflow: ~\$17M accelerated inventory and infrastructure for awarded or *anticipated* programmes, \$8M acquisition and integration costs, and \$17M for the **IM-4 milestone payment to SpaceX** — a payment that, unlike the newer CS-8 and CT-4 contracts, was not matched to customer milestones. Management expects future CLPS milestone cash to line up with SpaceX payments [2](#).

Balance Sheet (30 Jun 2026 vs 31 Dec 2025, \$000s) [7](#)

	30 Jun 26	31 Dec 25
Cash and equivalents	367,354	582,606
Restricted cash	11,668	2,733
Trade and other receivables	119,670	12,193
Inventory, net	59,941	—
Orbital receivables, non-current	209,833	—
Intangible assets, net	297,069	12,968
Goodwill	379,216	18,697
Total assets	1,887,281	757,154
Contract liabilities, current	215,518	57,368
Long-term debt, net	336,352	335,335
Warrant liabilities	81,438	60,394
Pension and other postretirement	48,739	—
Total liabilities	975,765	553,452
<i>Mezzanine: redeemable NCI</i>	1,194,653	951,536
Total shareholders' deficit	(290,082)	(754,447)

- **Net cash ~\$31.0M** on carrying value (\$367.4M cash less the \$336.4M carrying amount of the 2.50% converts due 2030). On the \$345.0M face amount it is ~\$22.4M; including \$11.7M restricted cash, ~\$34.0M
- **Runway** on the Q2 FCF burn rate: ~4.4 quarters of cash — but that burn included the ~\$17M SpaceX milestone and ~\$8M of deal costs, and it ignores two funding sources: continued ATM capacity and the **undrawn ING orbital-receivables facility (up to \$250M, expiring 1 Dec 2026)**. Liquidity is not the near-term constraint; the cost of the next dollar of it is
- **Goodwill + intangibles \$676.3M = 35.8% of total assets.** No impairment recognised at 30 June [7](#)
- **Common equity is negative** (deficit \$290.1M) with \$1,194.7M of redeemable NCI ahead of it in mezzanine — an Up-C artefact, but it means per-share book metrics are not meaningful

Capital Allocation — and the share count that matters

- **ATM:** \$235M net proceeds in Q2; **\$291M raised gross to date at a VWAP of \$26.81** — i.e. issued ~53% above the current \$17.56 2. Whatever else it is, that is well-timed issuance
- **Share count, 6 Aug 2026: 228.9M total = 173.2M Class A + 55.7M Class C**, as stated on the call and on the 10-Q cover 7. The 10-Q confirms prior Intuitive Machines LLC investors hold **24.8%** of LLC common units, exchangeable 1:1 into Class A 7
- Class C fell 58.63M → 55.85M over H1: LLC-unit exchanges into Class A are already running
- **Lanteris purchase consideration \$853.3M** = \$405.6M cash + \$404.0M Class A stock + \$43.7M transaction bonuses/other; goodwill \$360.5M; intangibles \$297.0M (trade name \$5M/1yr; customer relationships \$138M/15yr; developed technology \$154M/15yr). **KinetX \$31.3M**, goodwill \$18.8M. Amortisation runs **\$20.8M per year, 2027-2030** 7
- No buyback, no dividend

Key Surprises vs. Expectations

Magnitude and quality

- **Revenue -4.7% to -6.8%** vs consensus depending on the compiler (\$10.2M to \$15.0M). Modest in percentage terms
- **EPS \$(0.29) vs \$(0.07)-\$(0.09)**: a 3-4x miss on the loss. Non-operating marks are a contributor but not the cause — total other expense, net is \$15.7M of the \$62.8M net loss (25%), of which an \$11.6M warrant fair-value charge; the \$47.1M operating loss is the other 75% 7. What EPS *does* distort is the Up-C allocation: \$16.8M of the loss went to redeemable NCI, leaving \$46.6M attributable to Class A
- **Adjusted EBITDA missed by \$17.0M and by sign** — this is the real miss and the one that mattered. Consensus wanted +\$3.2M; the company delivered \$(13.8)M
- **Sigma framing**: with only three post-Lanteris quarters, the surprise distribution is too short to compute a meaningful standard deviation. Treated qualitatively rather than fabricated
- **Quality: mostly one-time, but not entirely**. The \$14.7M IM-4 EAC adjustment is a discrete contract re-estimate; add it back and Adjusted EBITDA is ~+\$0.9M, roughly in line with Q1 and near consensus. Against that, G&A at \$60.3M and the negative service margin are run-rate issues, and the \$17M SpaceX milestone timing is a real cash cost regardless of accounting period

Positive Surprises

1. **Bookings \$920M in Q2 (+\$300M Q3 QTD)** — record, and sustainable in the sense that it is contracted backlog, not a timing artefact
2. **\$600M+ commercial GEO award** — validates the acquired 1300-class platform against the exact bear case that GEO demand had stalled. Commercial, not appropriated
3. **Product gross margin 28.4%**, up ~890bps QoQ — the acquisition earns money
4. **National security 3% → 30% of revenue** — genuine end-market diversification, and the AMDT3/Golden Dome award extends it

Negative Surprises

1. **Adjusted EBITDA negative and below consensus by sign** — sustainability unclear; ~\$14.7M is the EAC, the rest is G&A and service margin
2. **Service gross margin -31.5% with service revenue down 27% YoY** — this is structural, not timing, and it contradicts the recurring-services margin premise
3. **FCF \$(83.9)M and cash down \$215M in six months** despite \$235M of ATM proceeds — sustainable only while equity markets stay open
4. **No FCF guidance and no breakeven date**, with capex staying elevated

Guidance Implications

Reaffirming a range whose low end is covered by backlog and whose midpoint is not is a defensible, honest posture — management said as much. The tell in Q3 will be whether the range narrows toward \$900M. The Adjusted EBITDA reaffirmation is the more exposed commitment: it needs a ~4.8-point H2 margin swing.

Analyst Reactions

Rating Changes

- **Stifel: UPGRADE Hold → Buy**, PT \$32 → **\$26**. On the revenue and EBITDA miss: "*but it's the backlog surge that is important.*" Cites backlog +\$707M from \$1.06B to \$1.76B, led by the \$600M commercial satellite award, plus order acceleration and valuation after the selloff [11](#)
- **Roth Capital: Buy maintained**, PT \$75 → **\$30**. Cites lower market valuations for the cut, but calls the new program and spacecraft traction "*impressive*" and the market opportunity "*significant*" [14](#)

Note the pattern: an **upgrade with a 19% target cut** and a **maintained Buy with a 60% target cut**. The sell side is more constructive on the business and much less constructive on the multiple.

Consensus View

9 Buy / 1 Hold / 1 Sell; consensus PT \$33.5, median \$32, range \$26–\$43 against \$17.56 spot. Consensus FY26 revenue \$935.1M — below the guidance midpoint [3](#). Longer-dated consensus has revenue compounding ~89% from \$210M (2025) to **\$1.41B by 2028** with Adjusted EBITDA turning positive in 2026 and reaching **\$77M by 2028** [10](#).

Scenario refresh (post-print)

Scenario	Probability	Updated vs pre-print	Price / range	Implied return vs \$17.56
Bull	25%	↓ from ~35%. Bookings support it, but the EBITDA miss pushes the inflection out at least two quarters	\$30	+71%
Base	50%	↑ from ~45%. FY26 lands \$900–950M; FY26 Adj. EBITDA roughly breakeven rather than clearly positive; backlog keeps building	\$20	+14%
Bear	25%	↑ from ~20%. Service margin stays negative, H2 EBITDA swing fails, capex stays high and another equity raise lands into a weaker tape	\$11	–37%

Scenario prices below are struck on **FY27E revenue** multiples.

Bull: FY26 at the \$1.0B high end with genuinely positive Adjusted EBITDA; CLPS 2.0 and RG-XX/TDRS wins land; NSNS service revenue starts in 2027 at real margin. Re-rates to ~5.5x forward revenue on a de-risked, diversified backlog.

Base: guidance narrows to the low end, FY26 Adjusted EBITDA lands within ±\$10M of zero, FCF stays negative into 2027, backlog grows to ~\$2.2B. ~4.5x forward revenue. **Bear:** the \$14.7M EAC proves to be the first of several; service margin stays negative; the H2 EBITDA swing misses; cash approaches ~\$200M by Q4 and the ATM is used at prices well below the \$26.81 VWAP. ~2.5x forward revenue.

Probability-weighted view: $EV = (0.25 \times \$30) + (0.50 \times \$20) + (0.25 \times \$11) = \$7.50 + \$10.00 + \$2.75 = \$20.25 \approx \mathbf{\$20.25, \text{ or } +15.3\% \text{ vs } \$17.56}$. Upside/downside skew measured against **spot**: +\$12.44 to bull vs –\$6.56 to bear, a ~1.9:1 payoff ratio — but only 25% of the distribution reaches the upside. Measured against the base case the skew is roughly symmetric (+\$10.00 / –\$9.00).

What moves probability between cases: the Q3 Adjusted EBITDA print (positive or not), whether guidance narrows to the low end, the October IM-3 flight-readiness review, CLPS 2.0 award timing, and any further ATM issuance and the price at which it happens.

Valuation cross-check

	Class A only (as press quotes it)	Full economic
Shares	173.2M	228.9M
Market cap @ \$17.56	\$3,041M	\$4,019M
Enterprise value (less \$31.0M net cash)	\$3,010M	\$3,988M
EV / FY26E revenue (\$950M mid)	3.17x	4.20x
EV / FY28E revenue (\$1,410M)	2.14x	2.83x
EV / FY28E Adj. EBITDA (\$77M)	39.1x	51.8x

The single most consequential valuation point in this print: the "Intuitive Machines trades at under 3x sales" framing circulating in coverage [10](#) counts only the 173.2M Class A shares and ignores the 55.7M Class C shares paired with LLC units that are economically identical and exchangeable 1:1 [7](#). Including them makes enterprise value **32.5% higher** — 3.17x becomes 4.20x, so a Class A-only multiple sits **~25% below** the economically correct one.

And 4.20x is still the low end of a defensible range. The table above treats the \$345M converts as debt at their \$336.4M carrying value, which is the conventional presentation but sits awkwardly beside an argument about counting all the economics: at \$17.56 against a \$13.1125 conversion price they are in the money on ~26.3M shares. On an if-converted basis EV is ~\$4.11B (4.33x); adding the \$81.4M warrant liability, \$48.7M pension and \$6.9M Series A preferred takes it to ~\$4.13B (4.34x). Call it **4.2x-4.35x FY26E** on any consistent basis. The capped calls cap the company's economic cost of conversion at \$20.98.

Does the reaction fit the surprise? Not really — and that is informative. A revenue miss of 5–7%, an EBITDA miss by sign, and a 3x EPS miss produced a *green* close. Three things explain it: 26.5% short interest with 1.6 days to cover into a record-bookings headline; a stock already 62% below its 52-week high with 5-day and 1-month gains of +17.6% and +18.2%; and a market that for a pre-profit space name weights bookings over quarterly margin. **Does price embed the new guidance?** At 4.2x FY26E and 51.8x FY28E Adjusted EBITDA, the price embeds the backlog converting *and* margins inflecting. It does not embed a second EAC-style charge, further service-margin erosion, or an equity raise below the \$26.81 ATM VWAP.

Investment Implications

Business Fundamentals Assessment

The quarter separates cleanly into two verdicts. **Commercially it was outstanding:** \$920M of bookings, a \$600M+ commercial GEO award that answers the "is the acquired platform obsolete?" question directly, a sixth CLPS mission, 18 Golden Dome buses, and end-market mix genuinely rebalanced to 37/49/14. **Financially it was poor:** every profit line missed, Adjusted EBITDA reversed sign sequentially, free cash flow was \$(83.9)M, and the services business — the intellectual core of the Build-Connect-Operate thesis — is shrinking with negative gross margin. The bridge between the two is time and execution, and management has now declined to put a date on the free-cash-flow half of it.

Forward Outlook

FY26 revenue at the low end of guidance is well supported by backlog arithmetic; the midpoint needs \$30–120M of definitization that management explicitly frames as timing, not demand. Positive FY26 Adjusted EBITDA is the more demanding promise: a 4.7–5.0 point H2 margin swing while capex stays elevated and retention RSUs run through December. FY27 should be structurally better — deal costs roll off, Lanteris retention RSUs step down, and the 35–40% backlog conversion year arrives (intangible amortisation settles at \$20.8M/yr from 2027, though it sits outside Adjusted EBITDA either way) — but 2027 also brings the NSNS capex peak before service revenue turns on in 2028.

Key Risks and Opportunities

Risks: service gross margin staying negative; further estimate-at-completion charges (IM-3's October flight-readiness review is the near-term test, and both prior landers tipped over); \$676.3M of goodwill and intangibles against a GEO

business independently characterised as cyclical and reliant on an aging bus platform; the ~4.4-quarter cash runway on current burn implying more ATM issuance, now well below the \$26.81 VWAP; 24.8% of the economics sitting outside the Class A count that most published multiples use; NASA and end-payer concentration essentially unchanged even as counterparty names diversified. **Opportunities:** CLPS 2.0 (ceiling variously put at \$6B-\$10B+) with four bids available this year; RG-XX, TDRS replacement and orbital data centres — none in backlog; NSNS recurring revenue from 2028 at ~0.5M minutes/year plus PNT broadcast; emergence as prime rather than L3Harris subcontractor; commercial GEO demand recovering into refreshed manufacturing capacity.

Closing (structured): Net assessment **Neutral** — the bookings are excellent and the unit economics are not yet, and at 4.2x FY26E revenue on the full economic share count the price already requires both to be true. Key risk: FY26 Adjusted EBITDA needs a ~4.8-point H2 margin swing while service gross margin is -31.5% and free cash flow is unguided. Next catalyst: **IM-3 flight-readiness review in October**, then **Q3 FY26 results on 3 November 2026** — where the tell is whether the \$900M-\$1.0B range narrows to its low end.

Sources

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Market, analyst, ownership, short-interest and price data: Bigdata.com company tearsheet and events calendar for Intuitive Machines, Inc. (rp_entity_id C0C0D6), retrieved 14 August 2026.

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